



Waipapa  
Taumata Rau  
**University  
of Auckland**

# Machinery of Government

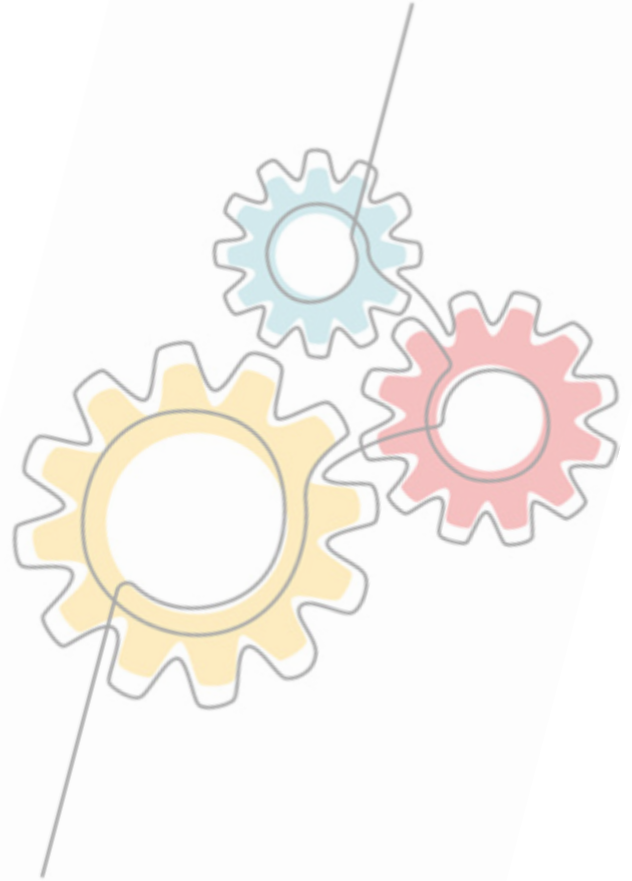
Lecture 10

➤➤➤ August 2026

➤➤➤ Juliet Gerrard

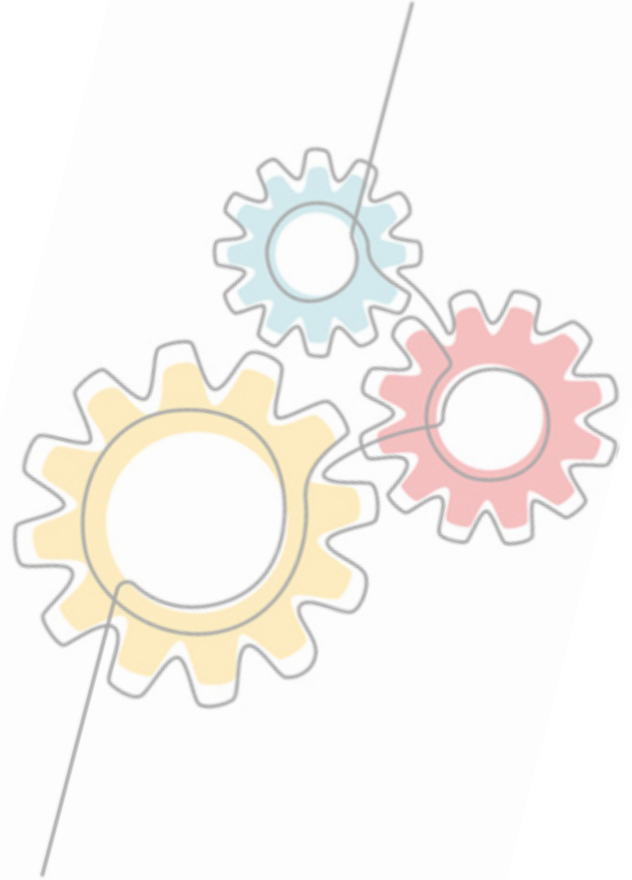
## Learning Outcomes

- Explain the difference between central and local government in New Zealand
- Understand the basics of how decisions are made in government
- Appreciate where in the policy process technical expertise is required
- Understand that government is a complex system of systems and that changes in and from this system generally happen slowly



## Outline

- Central vs local government in New Zealand
- How are decisions made?
- The policy process
- Policy, politics and pace of change





## Central and local government

- New Zealand has both local and central governments – many systems problems cut across both forms of government
- Central government makes laws for the whole country
- Local government makes local decisions (e.g on local amenities, environments)
- There are Regional Councils, Territorial Authorities or Councils, Unitary Authority (don't worry about the details of these)
- In Auckland, we have a Unitary Authority, with an elected Mayor
- The Mayor chairs Auckland Council
- There are 21 local boards that report to Auckland Council

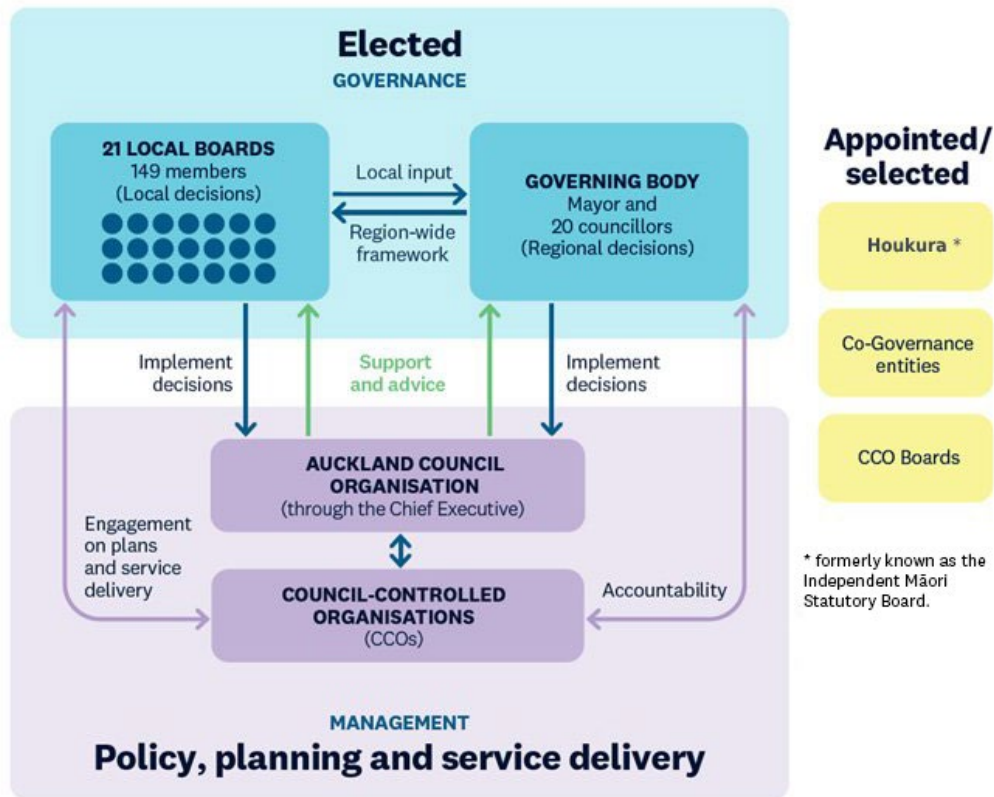
Councils in Aotearoa - LGNZ

## Local government in Auckland



The difference between local and central government | Vote Auckland

# Local government in Auckland



## Central Government

- Central government makes laws for the whole country
- There are two categories of people working in government – politicians who are elected Members of Parliament, and public servants



- In New Zealand, public servants are not political appointments – they keep their job whoever wins the election
- Public servants provide independent advice to politicians, and then do the work to implement laws and make changes



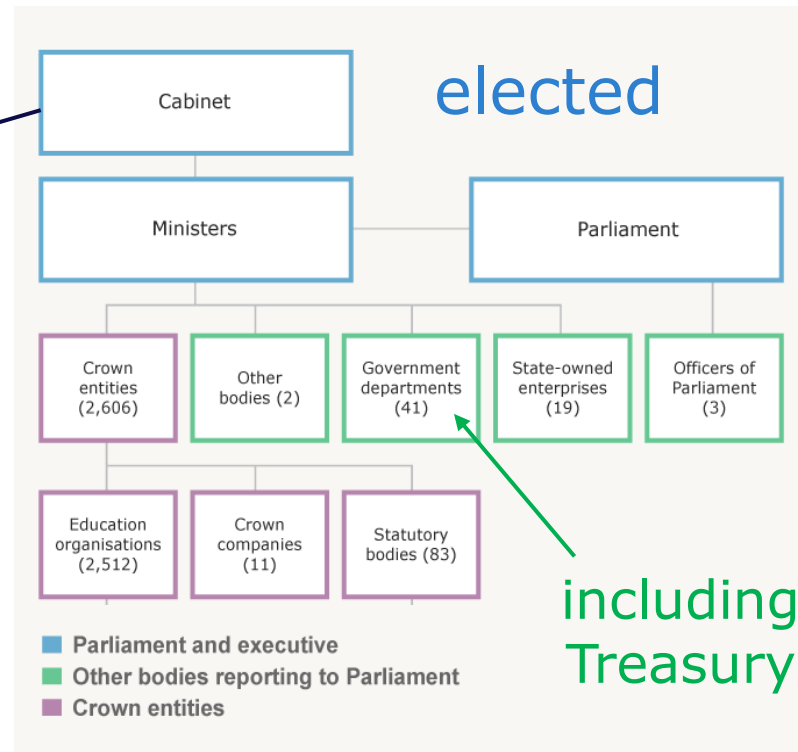
- **Science is never the only advice**
- Science is good at defining the problem
- Science is good at identifying options
- Science struggles with definitive timely answers
- **Politicians have to make decisions in defined timeframes**
- **Policy makers need to bridge the divide**
- Presenting the "facts" rarely changed anyone's mind
- Science debate should not be a proxy for values debate

<https://www.youtube.com/watch?v=sav2L2E38XA>





# Central Government in New Zealand currently



# Setting the policy work programme



Manifesto commitments and coalition agreements

100-day plans

Briefings for Incoming Ministers

Ministerial priorities and portfolio work programme decisions

Maintaining flexibility to respond to emerging issues and crises

## Coalition Agreement

New Zealand National Party  
& ACT New Zealand

54<sup>th</sup> Parliament



## Coalition Agreement

New Zealand National Party  
& New Zealand First

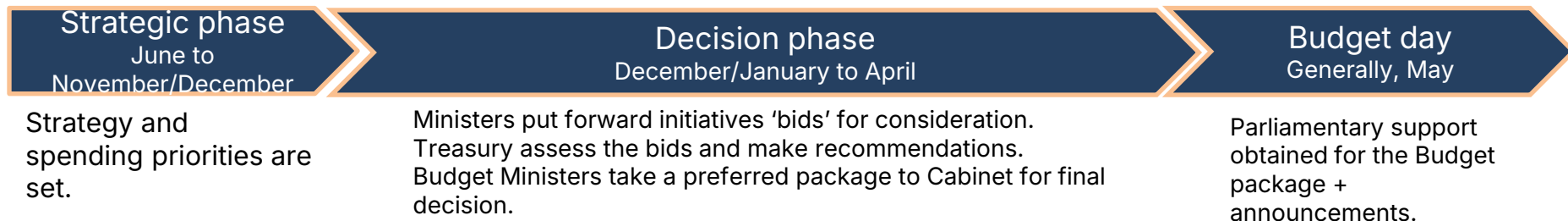
54<sup>th</sup> Parliament

## How change happens

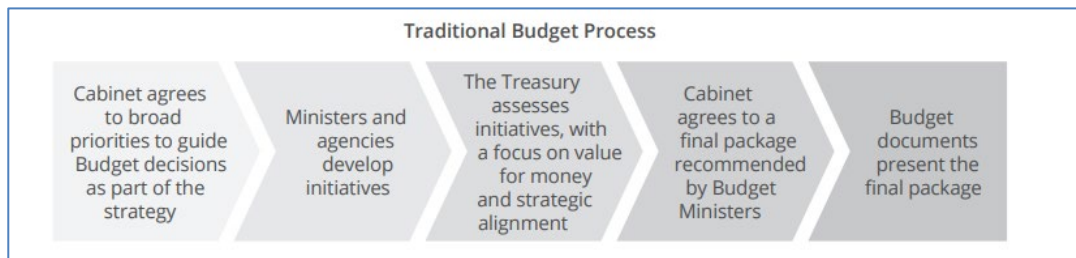
- There are multiple points where politicians or Ministry officials may choose to seek external advice:



- The winning ideas must make it through the annual Budget process before they are implemented:

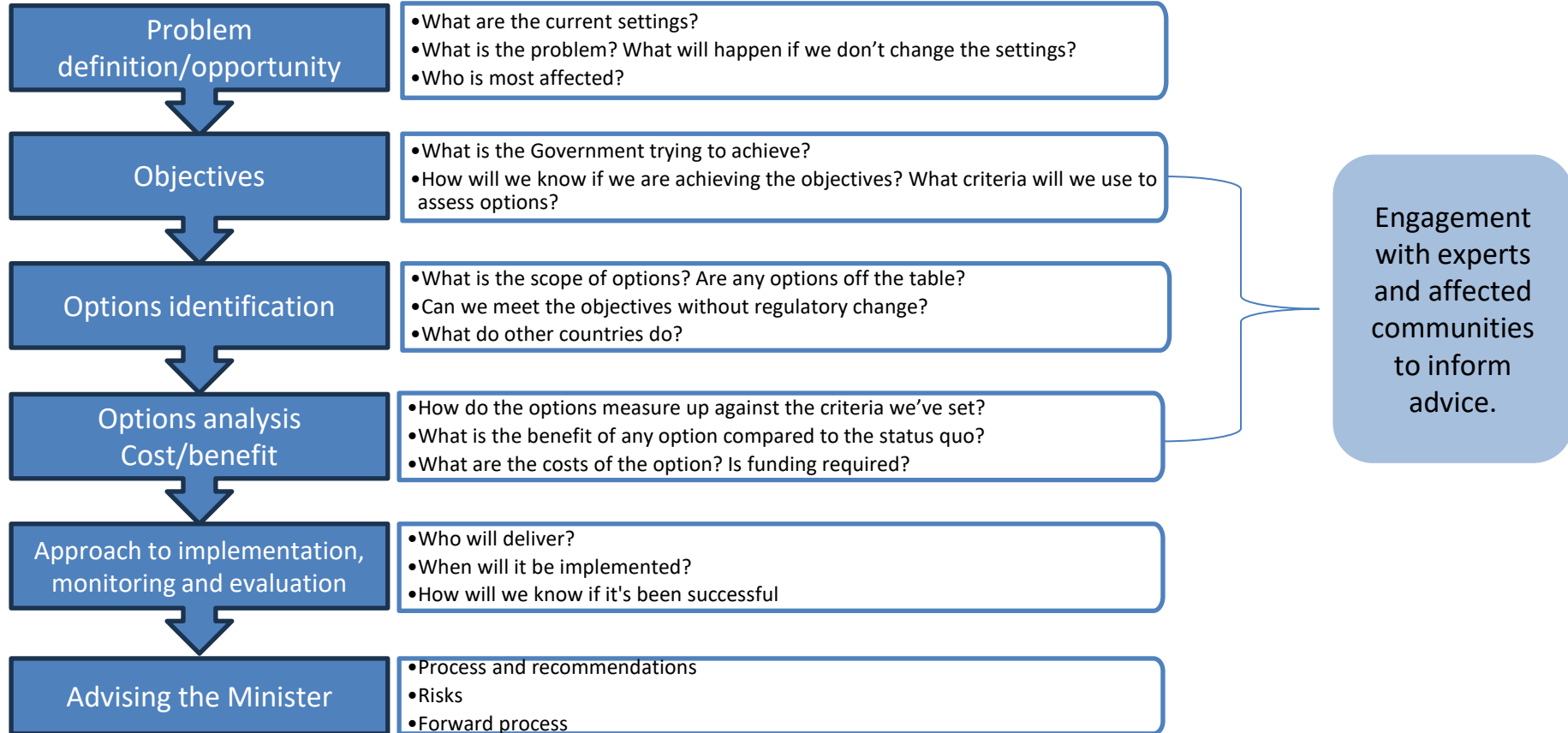


## LSF may be used by Treasury at key phases of the budget process



- Use of the LSF indicators inform advice to Ministers on the budget priorities
- Agencies are asked to outline and quantify (if possible) how their initiatives impact on non-financial aspects
- Summary information on anticipated trade-offs and synergies is included in advice to Ministers
- Ultimately it is up to Ministers to make the decision about trade-offs to align with their priorities

# The policy process



## The policy process

Problem  
definition/opportunity



- What are the current settings?
- What is the problem? What will happen if we don't change the settings?
- Who is most affected?

# The policy process

## Objectives



- What is the Government trying to achieve?
- How will we know if we are achieving the objectives? What criteria will we use to assess options?



# The policy process

## Options identification



- What is the scope of options? Are any options off the table?
- Can we meet the objectives without regulatory change?
- What do other countries do?

## The policy process

Options analysis  
Cost/benefit



- How do the options measure up against the criteria we've set?
- What is the benefit of any option compared to the status quo?
- What are the costs of the option? Is funding required?

# The policy process

Approach to implementation,  
monitoring and evaluation



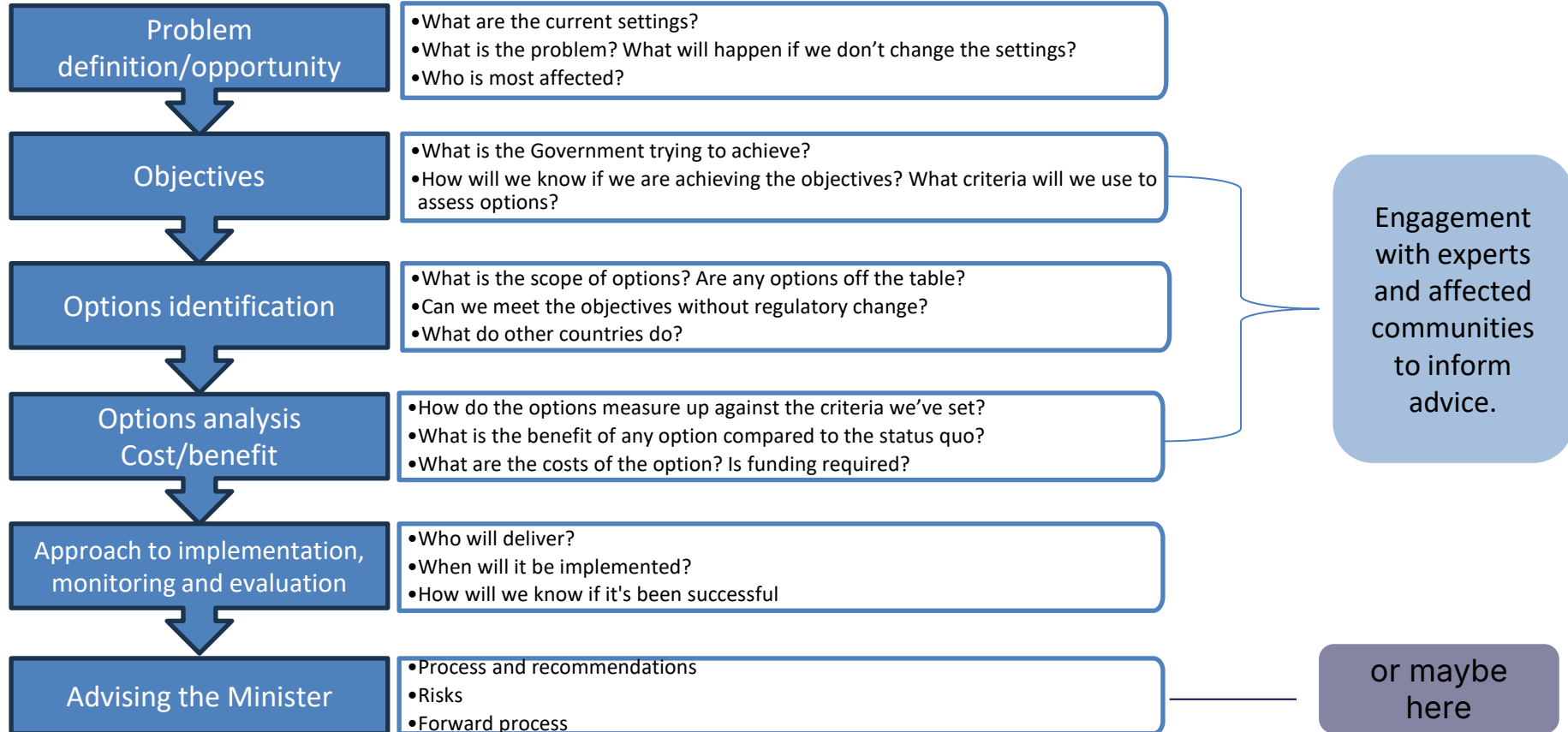
- Who will deliver?
- When will it be implemented?
- How will we know if it's been successful

# The policy process

## Advising the Minister

- Process and recommendations
- Risks
- Forward process

# The policy process



## Policy and funding decisions

The **Minister** sets direction for, and can take decisions on, matters related to their portfolio

Generally, policy change requires Cabinet agreement (which is sought by the Minister)

### **Cabinet:**

- Considers Cabinet papers and makes formal policy decisions.
- Proposes laws to Parliament.
- Approves funding for policy changes.

# 2025 Budget (used in last year's team and system projects)



## HEALTH

New funding in Budget 2025 ensures New Zealanders can access timely, quality healthcare.



A funding increase of **\$5.5 billion for hospital and specialist services**, primary care, and community and public health.



Over \$1 billion for health infrastructure, including **redeveloping Nelson Hospital** and the **Wellington Emergency Department**, and upgrading Auckland hospitals.



\$447 million to expand access to urgent care and after-hours services across New Zealand, and **make it easier for Kiwis to see a GP or nurse**.



Over \$1 billion for **additional cancer treatments** and other medicines that Pharmac has announced over the last 12 months.



Additional aged care funding **to support elderly Kiwis** transferring from acute hospital care to community care.



Funding to shift from a criminal justice response to a health response for **111 mental distress calls**.

# 2025 Budget (used in last year's team and system projects)



## EDUCATION

New funding in Budget 2025 will help lift school achievement, which is critical for New Zealand's long-term economic success.



An investment of \$646 million to support children with **additional learning needs**, including early intervention support.



**Extra maths help** for students who need it, with \$100 million of new funding for early intervention and support.



Increases to **schools' operational grants, Early Childhood Education and tertiary education subsidies**.



A \$140 million package for services to lift **school attendance**.

Full report: [Budget 2025 - Budget at a Glance](#)



# 2025 Budget (used in last year's team and system projects)



## SOCIAL SERVICES

New funding in Budget 2025 supports the provision of social services to many of the most vulnerable New Zealanders.



Funding of \$774 million to respond to the Royal Commission of Inquiry into Abuse in Care, **strengthening the care system** and **providing redress for survivors**.



\$275 million for social investment initiatives to improve the lives of vulnerable New Zealanders, including the creation of a **Social Investment Fund**.



\$760 million to support the provision of **Disability Support Services**.



Creating a fairer and more efficient welfare system, including through investment in **new technology**.

Full report: [Budget 2025 - Budget at a Glance](#)

# 2025 Budget (used in last year's team and system projects)



## DEFENCE AND FOREIGN AFFAIRS

New funding allows New Zealand to step up and play its part in a challenging geostrategic environment. Budget decisions invest more across defence and foreign affairs to promote New Zealand's interests internationally and to enhance the security and prosperity of the Pacific region.



\$660 million to **improve core Defence Force capabilities** across air, sea, land and cyberspace.



Funding to support **troop deployments**, including to train Ukrainian soldiers and provide other support.



Funding for **new maritime helicopters** to replace the current, ageing fleet.



Funding for two aircraft to **replace the ageing 757s** operated by the Royal New Zealand Air Force.



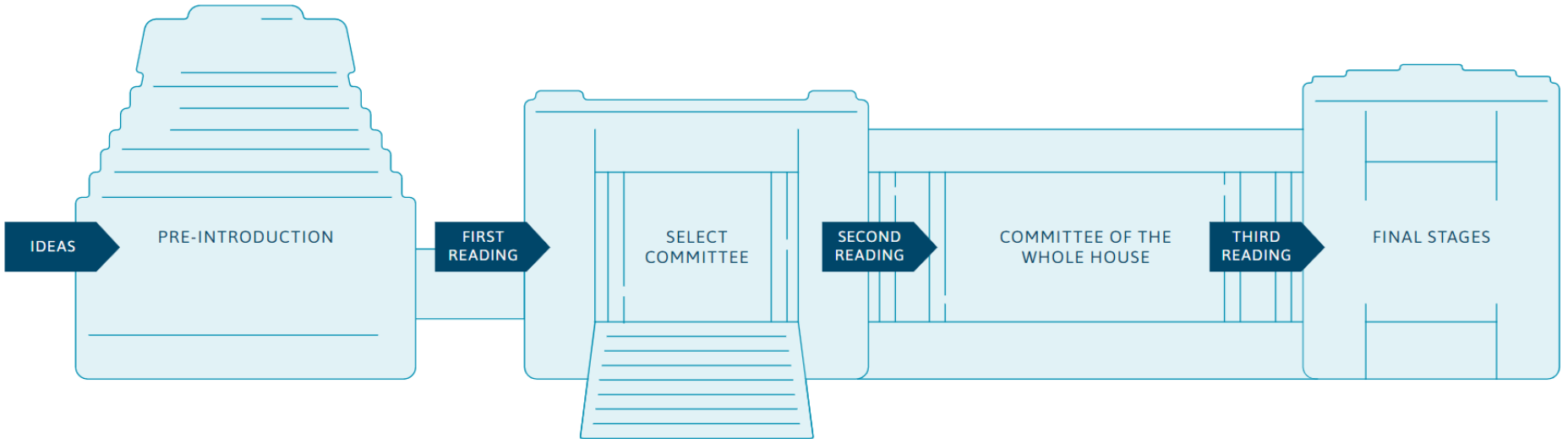
\$368 million to deliver **overseas development assistance**, focused on the Pacific.



\$84 million to lift New Zealand's engagement in Asia, address trade barriers and support the Government's goal to **double exports**.

## Role of Parliament

- Approves annual Budget.
- Monitors Government activity
- Turns policies into laws by passing legislation:



## But politics in modern democracies can be uncertain and messy

- Contested values
- Contested value of evidence
- Contested measures
- Political choices set goals for the system and drive behaviours and impact
- Polarisation and short term thinking is not suited to solving long term problems



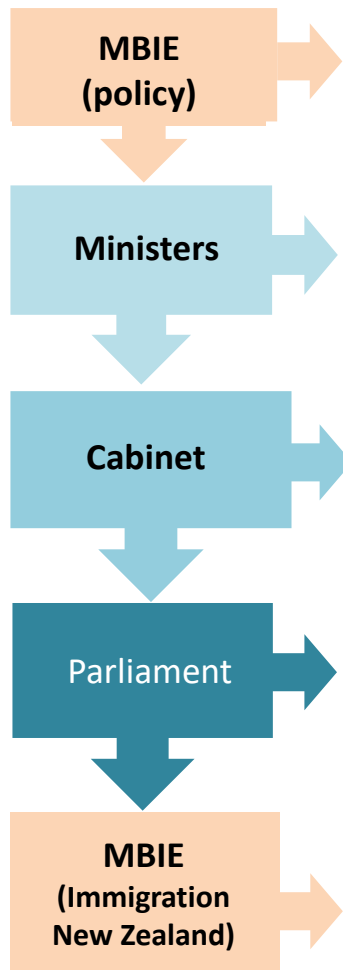
## Change happens slowly

The complexity of government systems means that change generally happens slowly

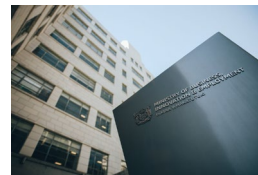
- This can be a good thing or a bad thing
- Your view may depend on who is in charge, and whether you agree with the change



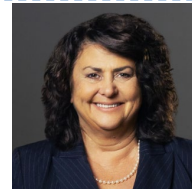
# An example – changing immigration settings



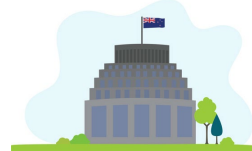
- Considers key issues such as what the problem is, what options there might be to solve it, how those options might affect people and what they might cost.
- Engagement with experts and communities to inform advice.



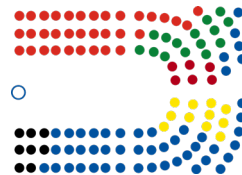
- Provide direction and priorities for their portfolio.
- Makes decisions in relation to their portfolio.
- Progresses policy options to Cabinet through Cabinet papers.



- Decision makers on policy matters.
- Approves funding for policy changes.
- Proposes laws to Parliament



- Passes primary laws.
- Monitors Government activity.



- Implements policy change
- Detailed design and changes to operational manual
- IT changes
- Operationalises change
- Immigration officers use new rules



**NEW ZEALAND  
IMMIGRATION**



## Government to make 'practical changes' to RSE scheme



News

Life

Radio

Podcasts

Video

Sections



Erica Stanford says these are "practical" changes to the scheme. RNZ / Louis Dunham

The Immigration Minister says changes to the Recognised Seasonal Employer (RSE) scheme will make it simpler and clearer to use, while protecting workers.

The RSE scheme brings about 17,000 people each year from Asia and the Pacific Islands to New Zealand for seasonal horticulture and viticulture work across about 200 employers.

## 'Timely': Horticulture industry welcomes government's changes to RSE scheme



Kate Scott is the CEO of Horticulture New Zealand. RNZ / Blessen Tom



Morning Report 29 July 2026

Industry welcomes loosened RSE rules for trusted employers



+ Queue



The horticulture industry says changes to the Recognised Seasonal Employment (RSE) scheme will give employers clarity and help to protect workers.

The government said rule changes would be phased in over the next two years.

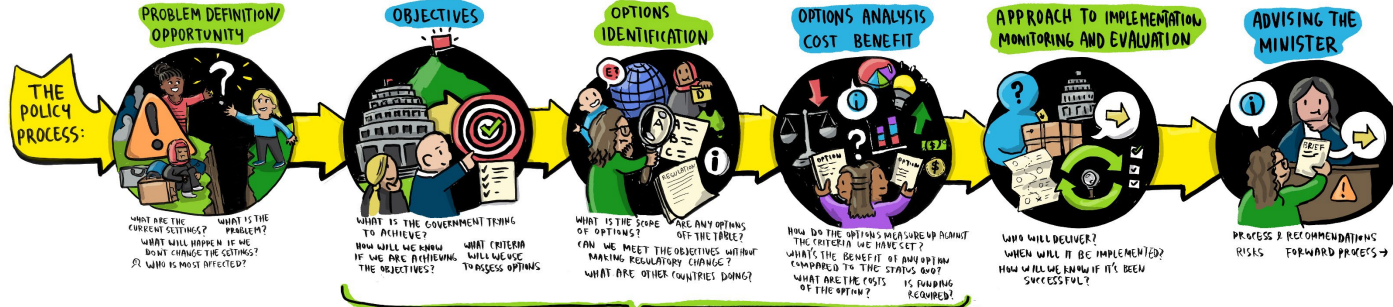
## Fast policy change can happen

- Often these are 'never again moments' when there is agreement that change is needed from all sides
- For example, gun law change on New Zealand after the mosque shooting

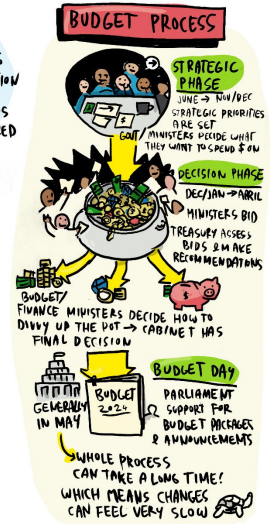
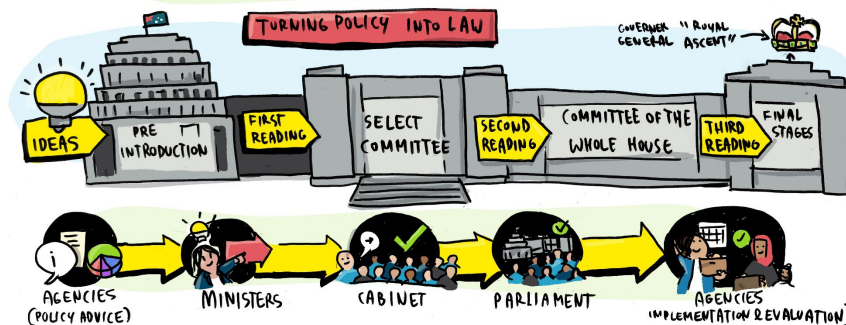




# Mechanics of Government



ENGAGEMENT WITH EXPERTS AND AFFECTED COMMUNITIES TO INFORM ADVICE





# Questions?

Thank you, and see you next  
lecture 😊

